

MICROSOFT INVESTMENT MEMO

Buffett-Inspired Business Quality and DCF Assessment

Valuation date: August 6, 2026

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Current Price	Base DCF Value	15% MOS Price	Stance
\$499.86	\$367.85	\$312.67	WATCH / WAIT

Exceptional business quality. Insufficient margin of safety.

Educational portfolio analysis - not investment advice

Executive Summary

Microsoft is an exceptional business with a broad moat, recurring enterprise revenue, high margins, strong cash conversion, and attractive returns on capital. The investment question is not whether Microsoft is a high-quality company. It is whether the current price provides a sufficient margin of safety after accounting for the extraordinary capital required to build AI and cloud capacity.

The base DCF values Microsoft at \$367.85 per share, implying 26.41% downside to the \$499.86 reference price. The reverse DCF indicates that the market price requires 7.41 percentage points of additional FY2027E consolidated revenue growth above the base case, taking implied growth from 16.22% to 23.62%, with the uplift fading to zero by FY2036E.

Decision metric	Result
Investment stance	WATCH / WAIT
Buffett-inspired overall score	74.5 / 100
Business quality excluding valuation	88.1 / 100
Base intrinsic value	\$367.85
Current market price	\$499.86
15% margin-of-safety price	\$312.67
Reverse DCF FY2027E growth uplift	7.41 pp

Investment question: Can Microsoft's AI and cloud investments generate sufficient long-term free cash flow growth and returns to justify its current valuation?

Conclusion: Microsoft's AI and cloud investments may justify today's valuation, but the market price already assumes a more aggressive monetization path than the base case.

Business Overview & Operating Momentum

Microsoft generated FY2026 revenue of \$331.8 billion, up 18%, and operating income of \$155.2 billion, up 21%. Azure annual revenue surpassed \$100 billion, Microsoft 365 Copilot exceeded 30 million paid seats, and commercial remaining performance obligation reached \$678 billion. These results support the durability of the enterprise franchise and the breadth of AI demand.

Segment	Revenue (\$mm)	Growth	Operating margin
Productivity & Business Processes	139,996	15.88%	59.92%
Intelligent Cloud	137,791	29.67%	41.35%
More Personal Computing	54,052	(1.09%)	26.62%

Productivity & Business Processes remains the primary margin engine. Intelligent Cloud is the main growth engine, but its economics are more capital-intensive and exposed to utilization, depreciation, energy, and AI-serving costs.

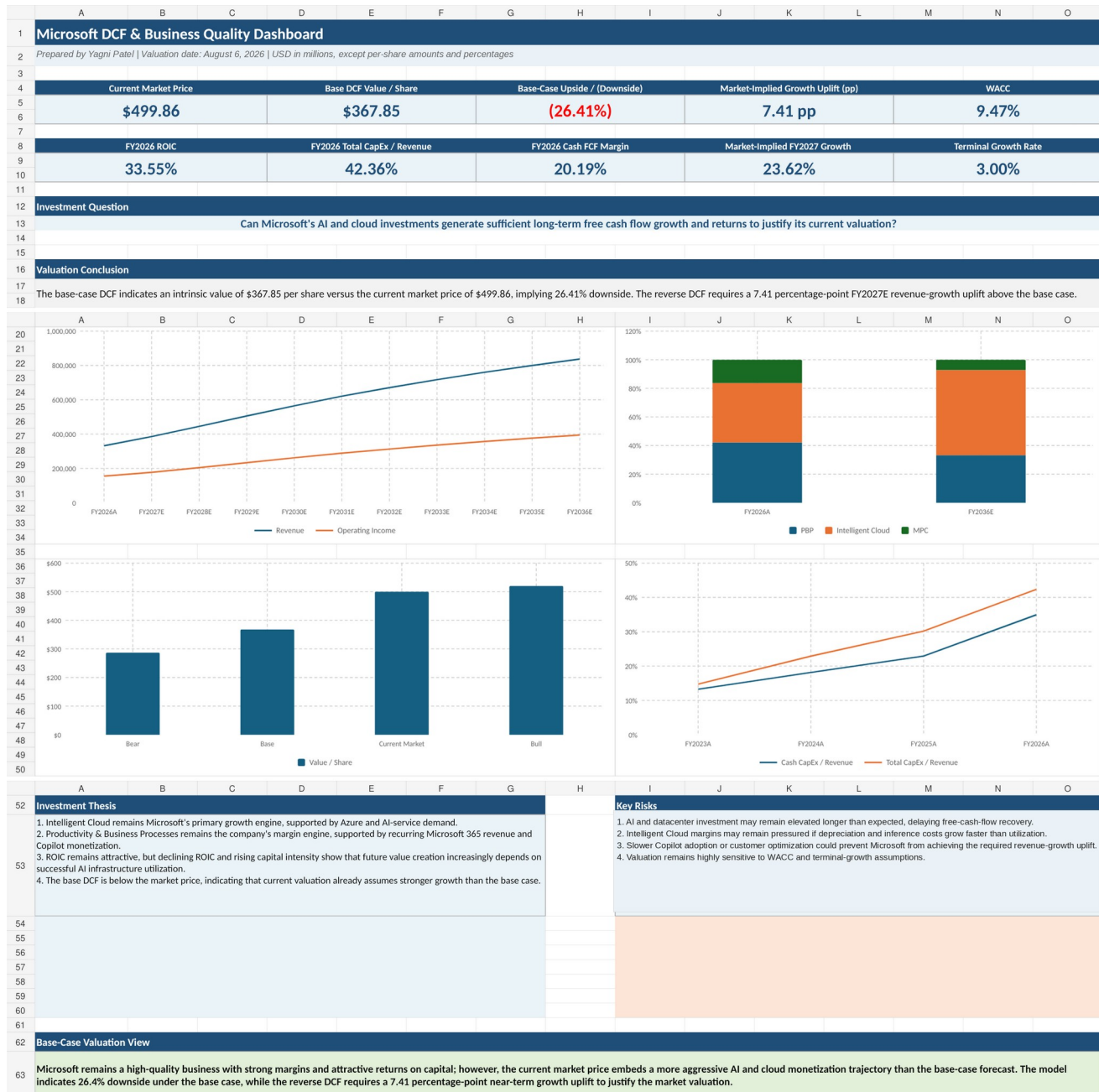


Figure 1 - Executive model dashboard

Buffett-Inspired Five-Tenet Assessment

The framework is analyst-created and is not an official Berkshire Hathaway checklist. It is designed to separate franchise quality from purchase-price discipline.

Tenet	Weight	Score	Verdict
Business clarity and predictability	15%	4.5 / 5	Strong
Durable competitive advantage	25%	5.0 / 5	Exceptional
Financial quality and earnings power	20%	4.5 / 5	Strong
Capital allocation and incremental returns	20%	3.5 / 5	Good / Monitor
Valuation and margin of safety	20%	1.0 / 5	Weak
Overall	100%	74.5 / 100	WATCH / WAIT

Microsoft: Buffett-Inspired Five-Tenet Assessment									
Prepared by Yagni Patel Analyst-created framework; not an official Berkshire Hathaway checklist Valuation date: August 6, 2026									
Overall Score		Business Quality Ex-Valuation			Investment Stance		15% Margin-of-Safety Price		
74.5 / 100		88.1 / 100			WATCH / WAIT		\$312.67		
Five-Tenet Assessment									
#	Tenet	Weight	Score / 5	Weighted Points	Evidence from Model / Filing	Principal Concern	Verdict	Monitoring Trigger	Sources
1	Business clarity & predictability	15%	4.5	13.5	FY2026 revenue was \$331.8 billion, up 17.8%, commercial RPO was \$678 billion, and Microsoft retained diversified enterprise and cloud franchises.	AI economics are less mature than Microsoft's traditional subscription economics.	STRONG	Commercial RPO growth, renewal behavior, and FY2027E revenue conversion.	S01, S12
2	Durable competitive advantage	25%	5.0	25.0	Azure annual revenue exceeded \$100 billion; Microsoft 365 Copilot exceeded 30 million paid seats, and PEP operating margin was 59.9%.	Platform competition, regulation, security failures, or model commoditization could weaken differentiation.	EXCEPTIONAL	Azure growth, Copilot paid-seat expansion, commercial RPO, and retention.	S01, S12
3	Financial quality & earnings power	20%	4.5	18.0	FY2026 operating margin was 46.8%, CFO net income was 136.8%, and ROIC was 33.5%.	Mark-to-market effects from OpenAI and other investments create GAAP noise; cash conversion is increasingly consumed by infrastructure.	STRONG	Operating margin, CFO net income, Cash FCF margin, and ROIC.	S01, S02, S03
4	Capital allocation & incremental returns	20%	3.5	14.0	FY2026 incremental ROIC was 19.3% versus a 9.5% WACC. Total CapEx / Revenue was 42.4%.	Total CapEx intensity is exceptionally high, and future AI returns remain unproven at full scale.	GOOD / MONITOR	Incremental ROIC must remain comfortably above WACC as CapEx normalizes.	S01, S11
5	Valuation & margin of safety	20%	1.0	4.0	Base DCF value was \$367.85 versus a \$499.86 market price, implying 26.4% downside; reverse DCF uplift was 7.41 pp.	The current price exceeds base intrinsic value and embeds a substantially stronger growth path.	WEAK	Price, FY2027E growth delivery, and evidence that AI monetization outpurs reinvestment.	S08, S09, S10
Decision Framework									
Current Market Price					Current Decision				
Base Intrinsic Value					WATCH / WAIT - excellent business quality, but no margin of safety at \$499.86. Reassess near \$312.67, or earlier only if AI monetization, margins, CapEx normalization, and incremental returns materially exceed the base case.				
15% Margin-of-Safety Price									
20% Margin-of-Safety Price									
Monitoring Checklist									
1. FY2027E consolidated revenue growth versus the 23.62% market-implied threshold. 2. Intelligent Cloud operating margin and Azure capacity utilization. 3. Total CapEx / Revenue normalization from the FY2026 level of 42.36%. 4. Incremental ROIC versus WACC. 5. Share price versus the base value and margin-of-safety reference prices.									
Final Buffett-Inspired Verdict									
Exceptional franchise and strong owner economics, but the current price offers no margin of safety. The model supports a WATCH / WAIT stance. Reassess near \$312.67 (15% margin of safety), or earlier if reported AI monetization and incremental returns materially exceed the base-case assumptions.									

Figure 2 - Buffett-inspired scorecard and decision framework

Owner Earnings and AI Reinvestment Economics

Microsoft's FY2026 operating margin reached 46.78%, while CFO was 136.77% of net income. ROIC was 33.55%, but it declined as invested capital expanded. The most important trend is the divergence between accounting profitability and cash economics.

Metric	FY2026 result	Interpretation
Operating margin	46.78%	Strong operating leverage and mix
CFO / Net Income	136.77%	High reported earnings conversion
ROIC	33.55%	Attractive, but declining as capital expands
Incremental ROIC	19.34%	Above WACC; proof period continues
Cash CapEx / Revenue	34.94%	Extremely high infrastructure intensity
Total CapEx / Revenue	42.36%	Includes finance-lease additions
Cash FCF margin	20.19%	Cash generation pressured by CapEx
Lease-Adjusted UFCF margin	9.32%	Economic cash flow after total infrastructure investment

The model does not conclude that AI investment is destroying value. Incremental ROIC remains above the 9.47% WACC. The conclusion is that the proof period is incomplete: utilization and monetization must catch up with the installed capacity while CapEx intensity normalizes.

Figures 3-4 - Base DCF and WACC/terminal-growth sensitivity

Forecast, DCF & Market-Implied Expectations

The base forecast models each segment independently through FY2036E. Consolidated revenue growth declines from 16.22% in FY2027E toward 4.74% in FY2036E. Operating margin remains between roughly 46% and 47%, while Total CapEx / Revenue declines from 43% to 16% as the infrastructure cycle normalizes.

Valuation output	Result
WACC	9.47%
Terminal growth	3.00%
Enterprise value	\$2,735,267 million
Equity value	\$2,741,570 million
Intrinsic value per share	\$367.85
Current market price	\$499.86
Implied downside	(26.41%)
Terminal value / enterprise value	65.90%
Implied terminal EV/UFCF	15.92x

The reverse DCF holds operating margins, reinvestment, WACC, and terminal growth constant and solves for the revenue trajectory required to reproduce the market price.

Metric	Base case	Market-implied
FY2027E revenue growth	16.22%	23.62%
Growth uplift	-	7.41 pp
Enterprise value	\$2.735 trillion	\$3.719 trillion
Implied share price	\$367.85	\$499.86

	A	B	C	D	E	F	G	H	I	J	K	L
1	Microsoft Reverse DCF Analysis											
2	USD in millions, except per-share amounts and percentages											
3												
4	Market-Implied Enterprise Value											
5	Current Share Price	\$499.86										
6	Diluted Shares (FY2026 weighted-average proxy, millions)	7,453										
7	Current Market Capitalization	3,725,457										
8	Add: Current Portion of Long-term Debt	9,227										
9	Add: Long-Term Debt	31,067										
10	Add: Finance Lease Liabilities	66,594										
11	Less: Cash and Cash Equivalents	(20,935)										
12	Less: Short-Term Investments	(55,908)										
13	Less: Equity and Other Investments	(36,348)										
14	Market-Implied Enterprise Value	3,719,154										
15												
16	Reverse DCF Input											
17	Solved Revenue Growth Uplift (pp)	7.41%										
18	Uplift Method	Linear fade to 0% by FY2036E										
19	Operating Margin Treatment	Base-case operating margin path										
20	Reinvestment Treatment	Base-case reinvestment path										
21												
22	Note: Revenue growth uplift is applied to FY2027 and fades linearly to zero by FY2036. Operating margins, tax rates, reinvestment assumptions, WACC and terminal growth remain unchanged from the base case.											
23												
24	Metric	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E	FY2035E	FY2036E
25	Base-Case Revenue Growth		16.22%	15.42%	13.65%	11.67%	9.92%	7.99%	6.97%	5.97%	5.19%	4.74%
26	Growth Uplift Fade Weight		100.00%	88.89%	77.78%	66.67%	55.56%	44.44%	33.33%	22.22%	11.11%	-
27	Growth Uplift		7.41%	6.58%	5.76%	4.94%	4.12%	3.29%	2.47%	1.65%	0.82%	-
28	Market-Implied Revenue Growth		23.62%	22.00%	19.41%	16.60%	14.03%	11.29%	9.44%	7.61%	6.01%	4.74%
29												
30	Reverse Forecast											
31	Revenue	331,839	410,232	500,486	597,643	696,878	794,670	884,352	967,861	1,041,541	1,104,178	1,156,517
32	Operating Margin		46.02%	45.97%	46.15%	46.40%	46.52%	46.66%	46.83%	47.00%	47.11%	47.13%
33	Operating Income		188,801	230,076	275,830	323,319	369,710	412,658	453,292	489,489	520,231	545,038
34	Forecast Tax Rate		20.00%	19.50%	19.00%	19.00%	19.00%	19.00%	19.00%	19.00%	19.00%	19.00%
35	NOPAT		151,041	185,211	223,422	261,888	299,465	334,253	367,166	396,486	421,387	441,481
36	D&A and Other/Revenue		12.00%	12.80%	13.30%	13.30%	13.00%	12.50%	12.00%	11.50%	11.00%	10.50%
37	D&A and Other		49,228	64,062	79,486	92,685	103,307	110,544	116,143	119,777	121,460	121,434
38	Total CapEx/Revenue		43.00%	40.00%	35.00%	30.00%	26.50%	23.50%	21.00%	19.00%	17.50%	16.00%
39	Total CapEx		176,400	200,194	209,175	209,064	210,588	207,823	203,251	197,893	193,231	185,043
40	Operating NWC/Revenue	(7.89%)	(8.50%)	(9.00%)	(9.50%)	(10.00%)	(10.00%)	(10.00%)	(10.00%)	(10.00%)	(10.00%)	(10.00%)
41	Ending Operating NWC	(26,197)	(34,870)	(45,044)	(56,776)	(69,688)	(79,467)	(88,435)	(96,786)	(104,154)	(110,418)	(115,652)
42	Change in Operating NWC		(8,473)	(10,174)	(11,732)	(12,912)	(13,779)	(14,948)	(16,351)	(17,348)	(18,348)	(19,234)
43	Lease-Adjusted UCF		32,541	59,253	105,466	158,421	201,963	245,943	288,410	325,739	355,879	383,106
44												
45	Discount Period		0.40	1.40	2.40	3.40	4.40	5.40	6.40	7.40	8.40	9.40
46	Discount Factor		96.44%	88.10%	80.47%	73.51%	67.15%	61.34%	56.03%	51.19%	46.76%	42.71%
47	Present Value of UCF		31,385	52,202	84,873	116,459	135,623	150,868	161,608	166,734	166,402	163,635
48												
49	Reverse DCF Output											
50	Terminal Growth Rate		3.00%									
51	WACC		9.47%									
52	FY2037E UCF		394,600									
53	Terminal Value at FY2036		6,097,463									
54	Terminal Discount Factor		40.80%									
55	Present Value of Terminal Value		2,489,365									
56	Present Value of Explicit UCF		1,229,788									
57	Reverse DCF Enterprise Value		3,719,154									
58	Market-Implied Enterprise Value		3,719,154									
59	Valuation Gap		0									
60	Valuation Gap %		0.00%									
61												
62	Reverse DCF Summary											
63	Solved Revenue Growth Uplift (pp)		7.41 pp									
64	Base-Case FY2027 Revenue Growth		16.22%									
65	Market-Implied FY2027 Revenue Growth		23.62%									
66	Reverse DCF Enterprise Value		3,719,154									
67	Reverse-Implied Equity Value		3,725,457									
68	Reverse-Implied Share Price		\$499.86									
69	Current Share Price		\$499.86									
70	Share Price Gap		\$0.00									
71	Share Price Gap %		0.00%									
72	Reverse DCF Interpretation: At Microsoft's current share price of \$499.86, the market valuation requires approximately 7.41 percentage points of additional FY2027E consolidated revenue growth above the base case. The uplift fades linearly to zero by FY2036E while operating margins, reinvestment intensity, WACC and terminal growth remain unchanged. The solved valuation gap is 0.00% of market-implied enterprise value.											
73												
74												
75	Reverse DCF Validation Checks											
76	Enterprise Value Gap Check	PASS										
77	Share Price Gap Check	PASS										
78	FY2036 Growth Uplift Check	PASS										
79	Terminal Condition Check	PASS										

Figure 5 - Reverse DCF and market-implied growth path

Catalysts, Risks & Monitoring

Potential catalysts

- Azure growth remains near or above 40% while capacity constraints ease.
- Microsoft 365 Copilot paid seats convert into meaningful ARPU expansion.
- Intelligent Cloud operating margin stabilizes and begins to recover.
- Total CapEx intensity declines faster than modeled.
- Incremental ROIC remains above 15% as invested capital scales.
- The share price declines toward or below the margin-of-safety range.

Principal risks

- AI and datacenter investment remains elevated longer than expected.
- Capacity is underutilized or AI workload pricing becomes structurally less attractive.
- Competition compresses Azure, Copilot, or developer-platform economics.
- Security, privacy, regulatory, or antitrust events weaken the ecosystem.
- The terminal valuation remains highly sensitive to WACC and perpetual growth.
- The reverse DCF solves for one variable; other combinations could also justify the market price.

Quarterly monitoring framework

- Consolidated growth versus the 23.62% market-implied FY2027E threshold
- Azure growth and Intelligent Cloud operating margin
- Copilot paid seats, pricing, and reported monetization
- Total CapEx / Revenue and lease-adjusted UFCF recovery
- Incremental ROIC relative to WACC

Final Recommendation

WATCH / WAIT - Microsoft is an exceptional franchise, but the \$499.86 reference price offers no margin of safety under the base case. The shares would merit renewed consideration near \$312.67, or earlier only if AI monetization, margins, CapEx normalization, and incremental returns materially outperform the model.

Decision reference	Price
Base intrinsic value	\$367.85
10% margin-of-safety price	\$331.06
15% margin-of-safety price	\$312.67
20% margin-of-safety price	\$294.28

Sources, Methodology & Limitations

Primary sources

- [Microsoft FY2026 Q4 earnings release and financial statements](#)
- [Microsoft FY2025 Annual Report](#)
- [Microsoft SEC filings](#)
- [U.S. Treasury daily yield curve rates](#)
- [NYU Stern current valuation data](#)

Methodology summary

- Segment-driven operating forecast through FY2036E.
- Lease-adjusted UFCF subtracts Total CapEx, including finance-lease additions.
- Mid-year DCF with 9.47% WACC and 3.00% terminal growth.
- Reverse DCF solves for a consolidated revenue-growth uplift while holding other variables constant.
- Buffett-inspired scorecard is an analyst-created decision framework, not an official Berkshire checklist.

Limitations

- FY2026 diluted weighted-average shares are used as a proxy rather than a full treasury-stock-method dilution schedule.
- Bear/Base/Bull scenarios vary WACC and terminal growth rather than using independent operating forecasts.
- The reverse DCF changes one variable while holding margins and reinvestment constant.
- ERP, beta, debt cost, market price, and Treasury inputs should be refreshed when the valuation date changes.
- This memo is an educational portfolio analysis and is not investment advice.

Model workbook: [Microsoft_DCF_Analysis_Final.xlsx](#)